CBDC, the proposal is to create an account of everyone in the central bank and use the balance in this account to make digital payments, as in the case of UPI, by using balances in bank accounts.

Both the wholesale and retail CBDCs essentially create digital currency using blockchain technology in permissioned mode. Basically, the cryptocurrency so created would be used to make payments as digital wallets do today. There is no likelihood of everyone holding all the data blocks in everyone's computers or private miners and others discovering transactions. The CBDCs as envisaged are not cryptocurrencies like bitcoins or others created using blockchain and crypto-graphic technology in the decentralized mode. Wholesale and retail CBDCs are cryptocurrencies largely in name.

Dematerialization of Rupee Banknotes Offers a Good Solution for the Digital Rupee

In the securities system, dematerialized recordkeeping has replaced the physical system. Share or bond certificates are no longer issued or held in physical form. A depository keeps all shares and bonds in its ledger. Holders only have a statement noting their beneficial ownership of the number of shares and bonds of different companies and governments. But they can buy, sell and transfer these securities with total ease and at a much lower cost compared to physical transfers of securities.

In India, stamps to be affixed on registration documents are now being increasingly issued in dematerialized form. It is more user-friendly and governments are also able to collect their revenues more efficiently.

Recently, the Centre and state governments have agreed to collect stamp duty on securities in a seamless manner digitally using a centralized collection system.

It is possible to dematerialize currency notes as well. The central bank can issue currency in dematerialized form instead of releasing new notes or